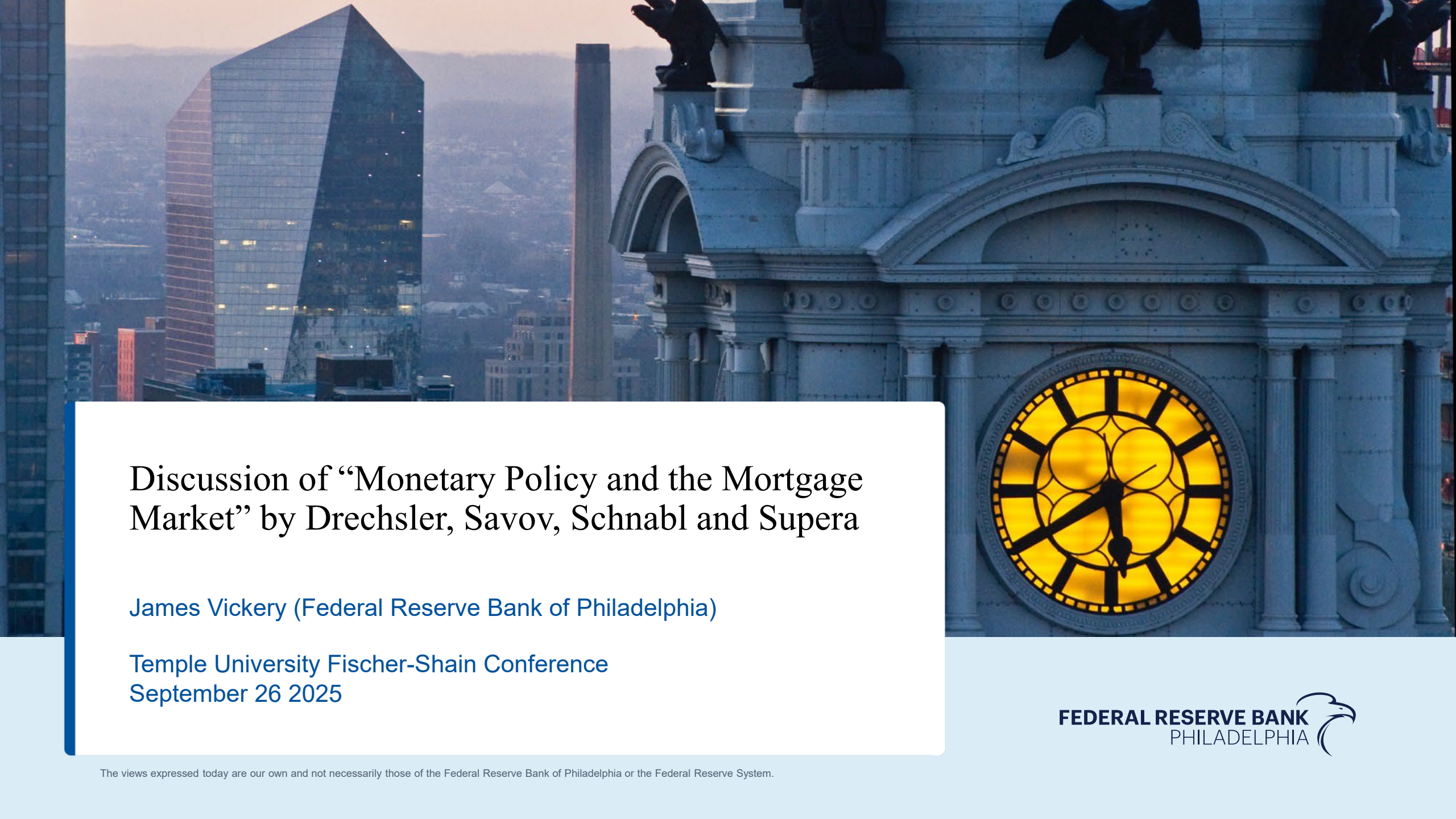




Discussion of “Monetary Policy and the Mortgage Market” by Drechsler, Savov, Schnabl and Supera

James Vickery (Federal Reserve Bank of Philadelphia)

Temple University Fischer-Shain Conference
September 26 2025



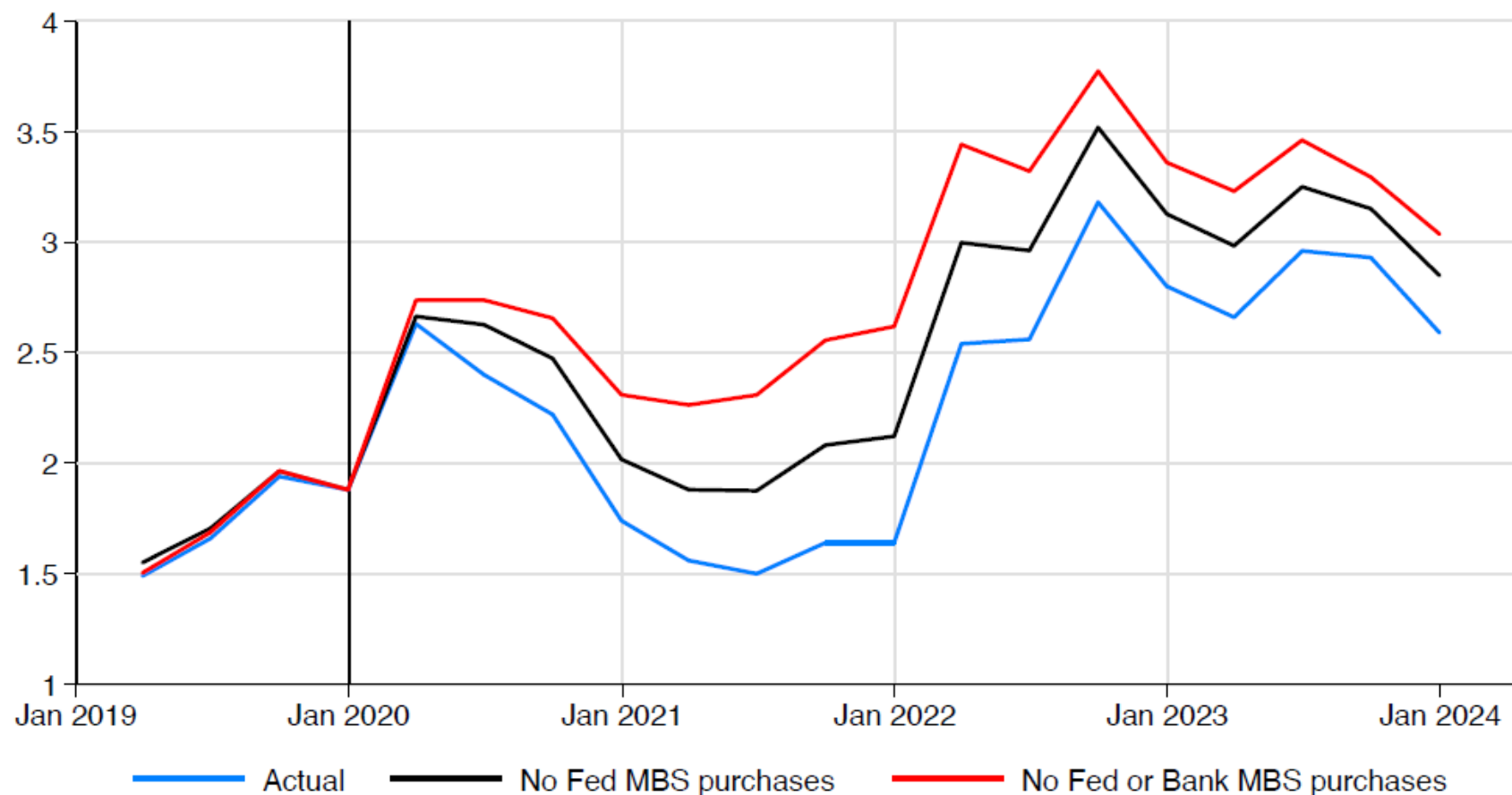
Overview and general reactions

- Great paper on an important topic
- Big picture: How do portfolio decisions of banks and the Fed shape monetary transmission to the mortgage/housing market?
 - *Banks*: MBS demand is driven by deposit flows – deposit channel
 - *Fed*: QE/QT

Both bank and Fed demand: (1) increased in 2020-21; (2) fell in 2022-23 as MP tightened

- Calibrated model: without bank and Fed purchases in 2020-23:
 - Mortgage rates would have been up to 80bp higher
 - Mortgage originations would have been 25% lower
 - Lower consumption and residential investment

Mortgage spread (vs 10yr UST): actual vs counterfactual



(b) Mortgage Spread

Comments

1. Intermediation frictions
2. Nonlinearities in portfolio adjustment
3. Why is bank demand for MBS not more elastic?

1. Intermediation frictions

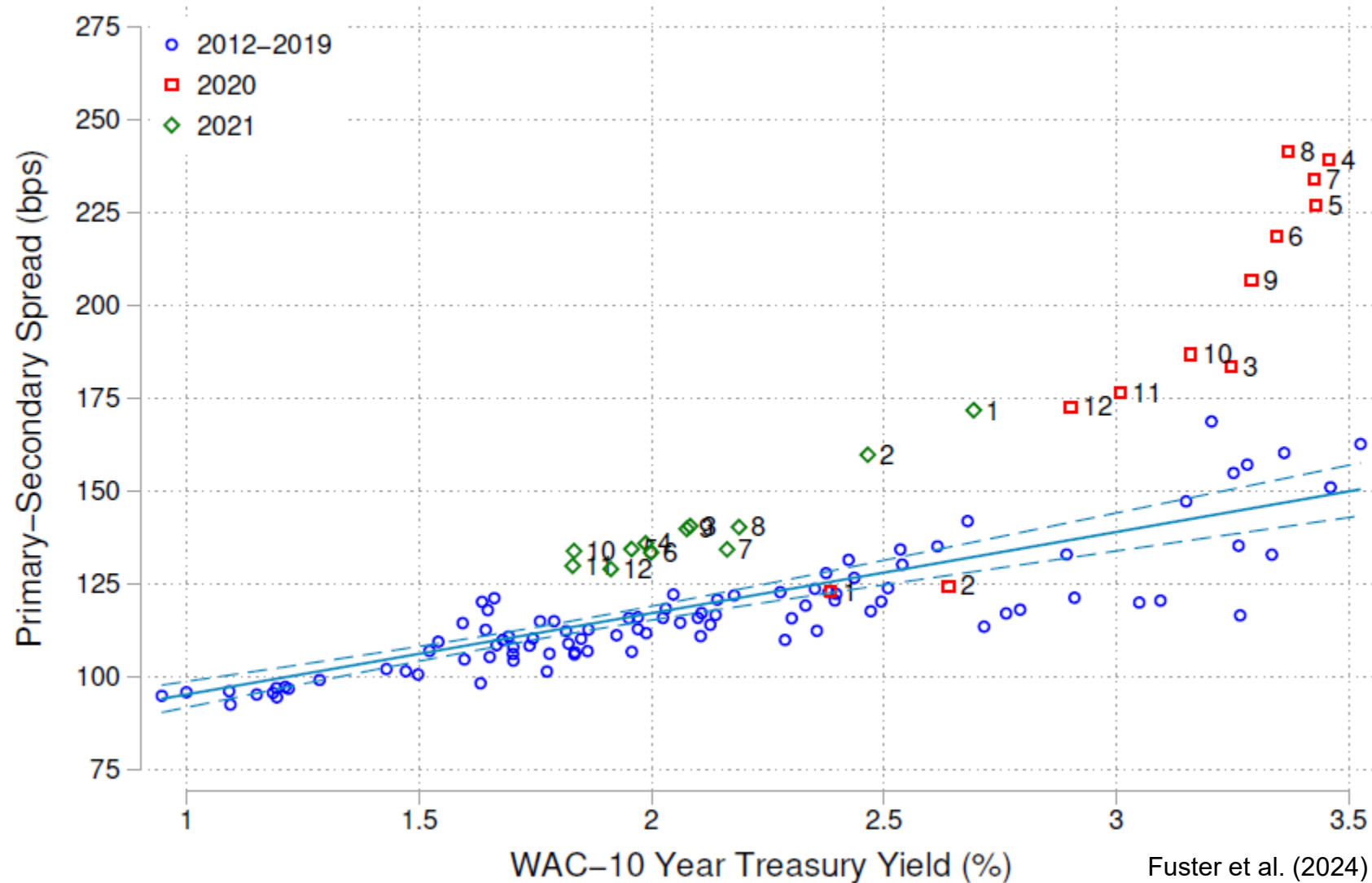
- Purchases by banks and the Fed affect *MBS yields*
 - Option-adjusted spread (OAS): duration-matched spread vs Tsy after stripping out prepayment option
- Transmission to mortgage rates less than 1:1 in 2020-21 due to capacity constraints
 - Mtg supply not fully elastic (Fuster-Lo-Willen JF 2024), especially in pandemic (Fuster et al. 2024)
 - How much does this matter for the counterfactuals?
- Model abstracts from primary mkt; and paper sometimes conflates MBS vs mtg spread, e.g.,

$$S_t = -\alpha^S R_t^{MBS} + \epsilon_t^S \quad \text{Mortgage demand should depend on } \textit{mortgage} \text{ rate, not MBS yield}$$

$$\Delta \text{Investor MBS}_t = \gamma + \beta_I^{IV} \times \Delta \widehat{\text{Mortgage spread}}_t + X_t + \epsilon_t^I, \quad \text{Put OAS on RHS (instrument with Fed purchases)}$$

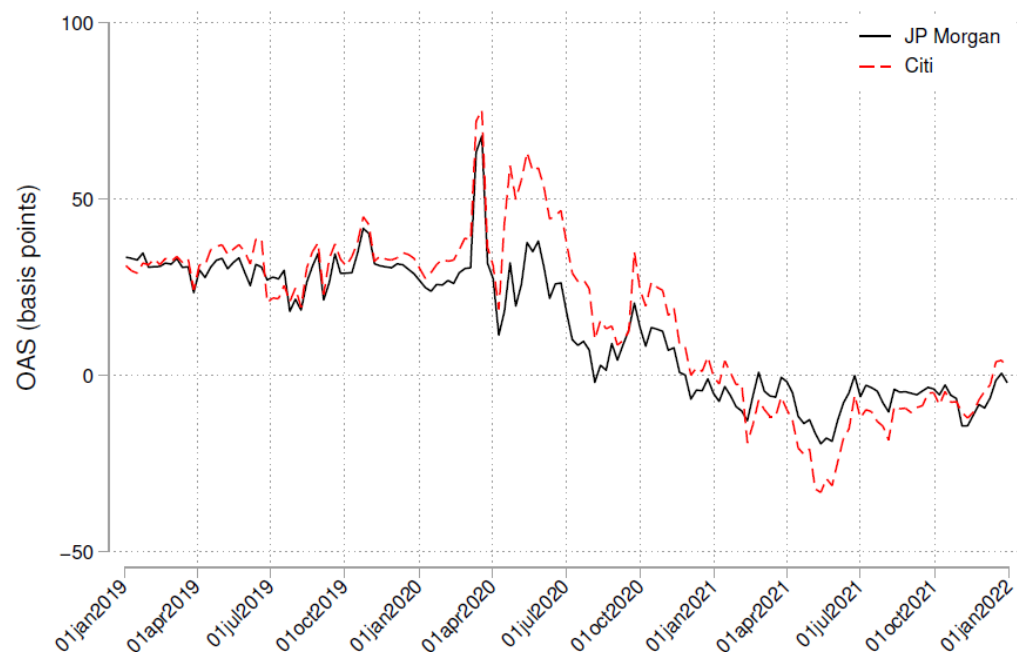
Suggestion: incorporate primary market; calibrate using elasticity from Fuster-Lo-Willen

Mortgage supply unusually inelastic in 2020-21...



Back of the envelope calculation

Figure A.1: **OAS measures from different dealers.** OAS is calculated by interpolating values between the two MBS coupons on either side of the net note rate as described in Section III.A.1. Data sources: Freddie Mac PMMS, J.P.Morgan Markets, Citi.



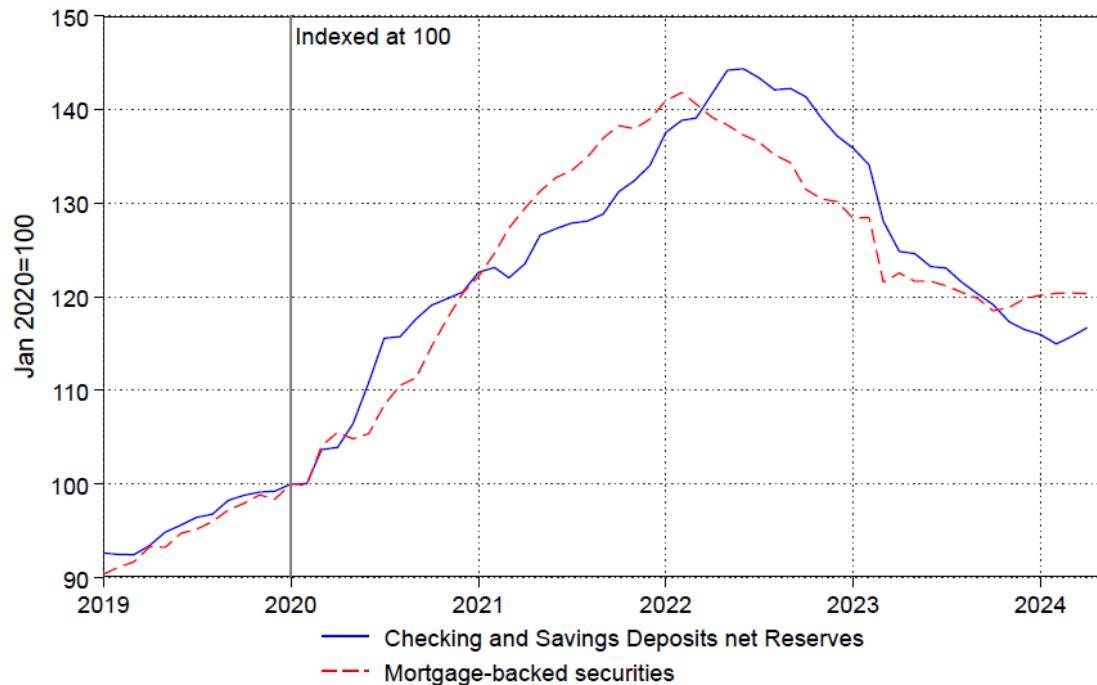
Fuster et al. (2024)

- *Production coupon* OAS fell by ≈ 30 -40bp during pandemic
 - Plausible that Fed/bank purchases are key driver
- Passthrough to *mortgage rate* initially 0.5 or less (Fuster et al. 2024)
 - But rises to ≈ 1 by mid/late-2021
- Suggests purchases reduced mortgage-Treasury spread by 20-40bp?
 - Smaller than paper: 80bp
- Note: current coupon OAS not meaningful in this period – all new MBS production issued well above par

2. Interpreting portfolio adjustments

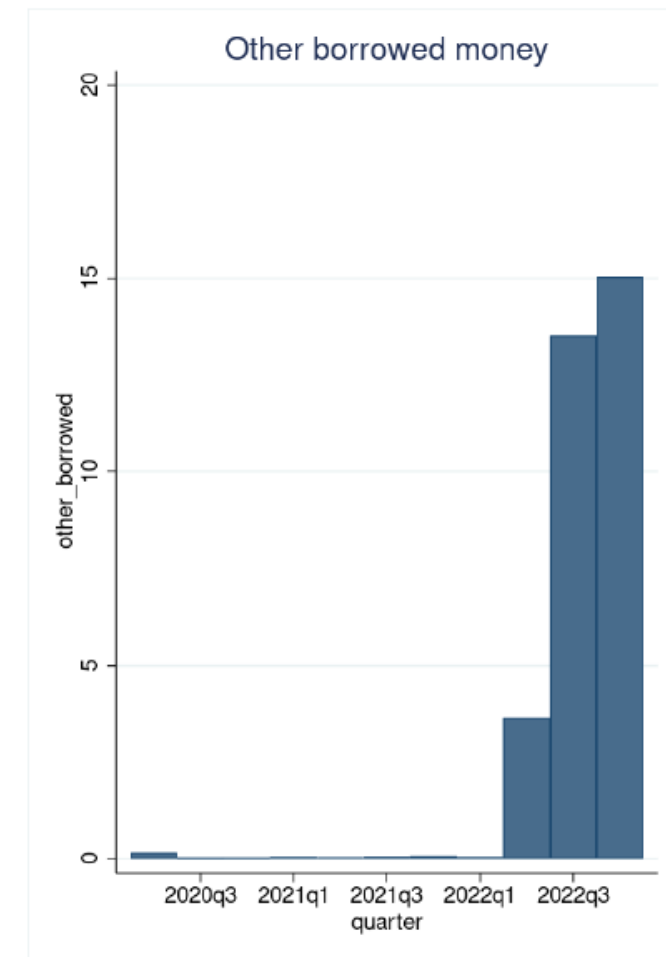
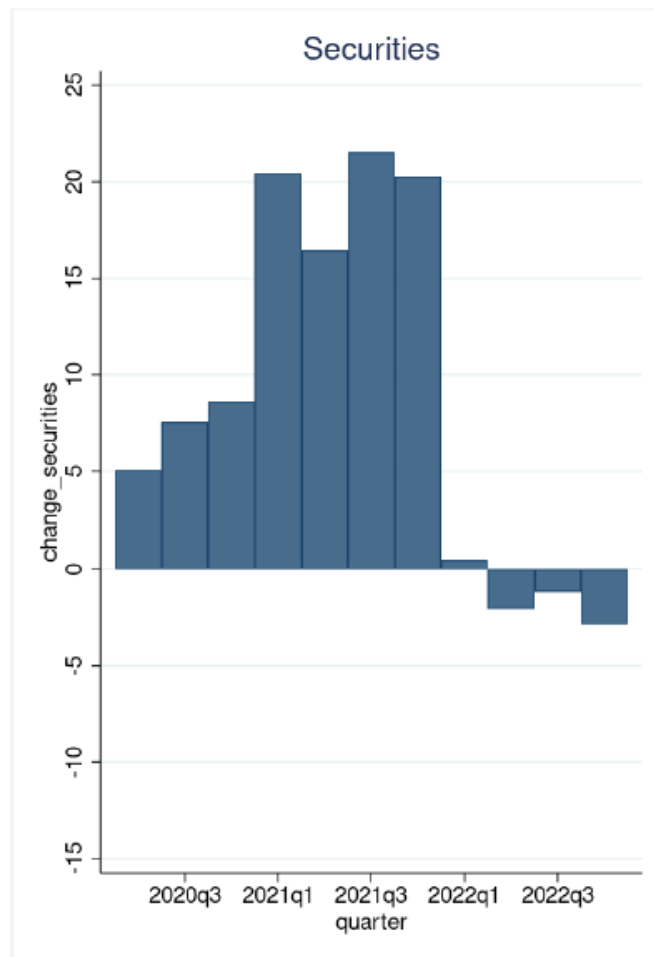
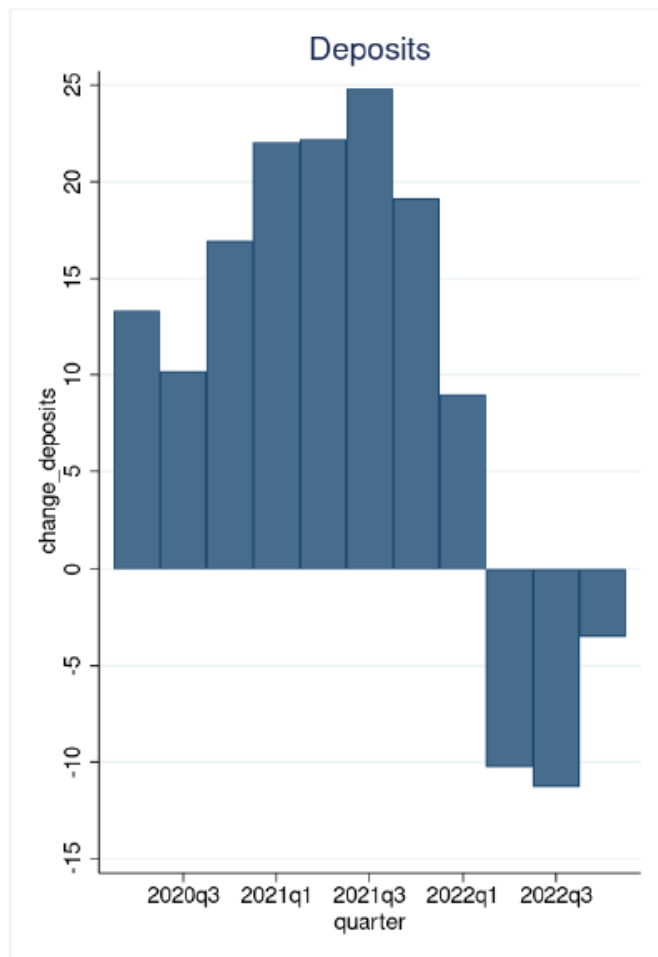
Figure 12: Bank Deposits and MBS Holding

This figure plots the relationship between the growth in bank deposits and the growth in banks' MBS holdings monthly from Jan 2019 to Apr 2024. Bank deposits and banks' MBS holdings are both normalized to 100 as of January 2020. Deposits are computed as transaction plus savings deposits minus reserves. Transaction deposits are demand deposits while savings deposits are other liquid deposits, which are the sum of savings deposits and other checkable deposits, both from the H.6 release in FRED. Reserves are reserve balances also from the H.6 release. MBS holdings are obtained from the H.8 release in FRED.



- Paper makes a convincing case that bank MBS demand is driven by deposit flows
- One caveat – need to be careful about market values vs book/face value
 - H8: mix of mkt value (AFS) and amortized cost (HTM)
 - Also: dip in March 2023 – SVB
 - Even amortized cost is imperfect measure of buy/sell decisions – accretion of purchase premiums/discounts
- Evidence from security-level data: bank *purchases* respond to deposit flows but *sales* do not (Fuster, Paligorova and Vickery 2025)
 - In general, banks were reluctant to realize losses by selling underwater bonds in 2022-23
 - Banks did let MBS balances run off (slower margin)

SVB didn't sell bonds even as risk rose; deposits flowed out...



Source: Fuster, Paligorova and Vickery (2025)

3. Why is bank MBS demand so inelastic?

- Makes sense that banks park deposit inflows in securities with positive duration
- But why is securities portfolio *mix* apparently so unresponsive to relative value?
 - MBS seem rich to Treasuries by 2021
 - Why don't banks substitute to Treasuries, other fixed income assets? (as asset managers do)
 - Regulation (e.g., risk weights, LCR)? Agency problems? Dual role of banks as originators & investors?
 - Could investigate using cross-sectional variation in bank MBS holdings... (e.g., big banks hold higher MBS share)
- General comment: Key motivation for securitization is to shift risk off bank balance sheets
 - Current system shifts a lot of *credit risk* (through GSEs and credit risk transfer market)
 - But banks retain *interest rate risk* (may be ok) and *prepayment risk* (more difficult to hedge dynamically)
 - More work needed to understand: 1) drivers of bank MBS demand; 2) potential effects of changes to the system (e.g., GSE re-privatization; changes in bank regulation)

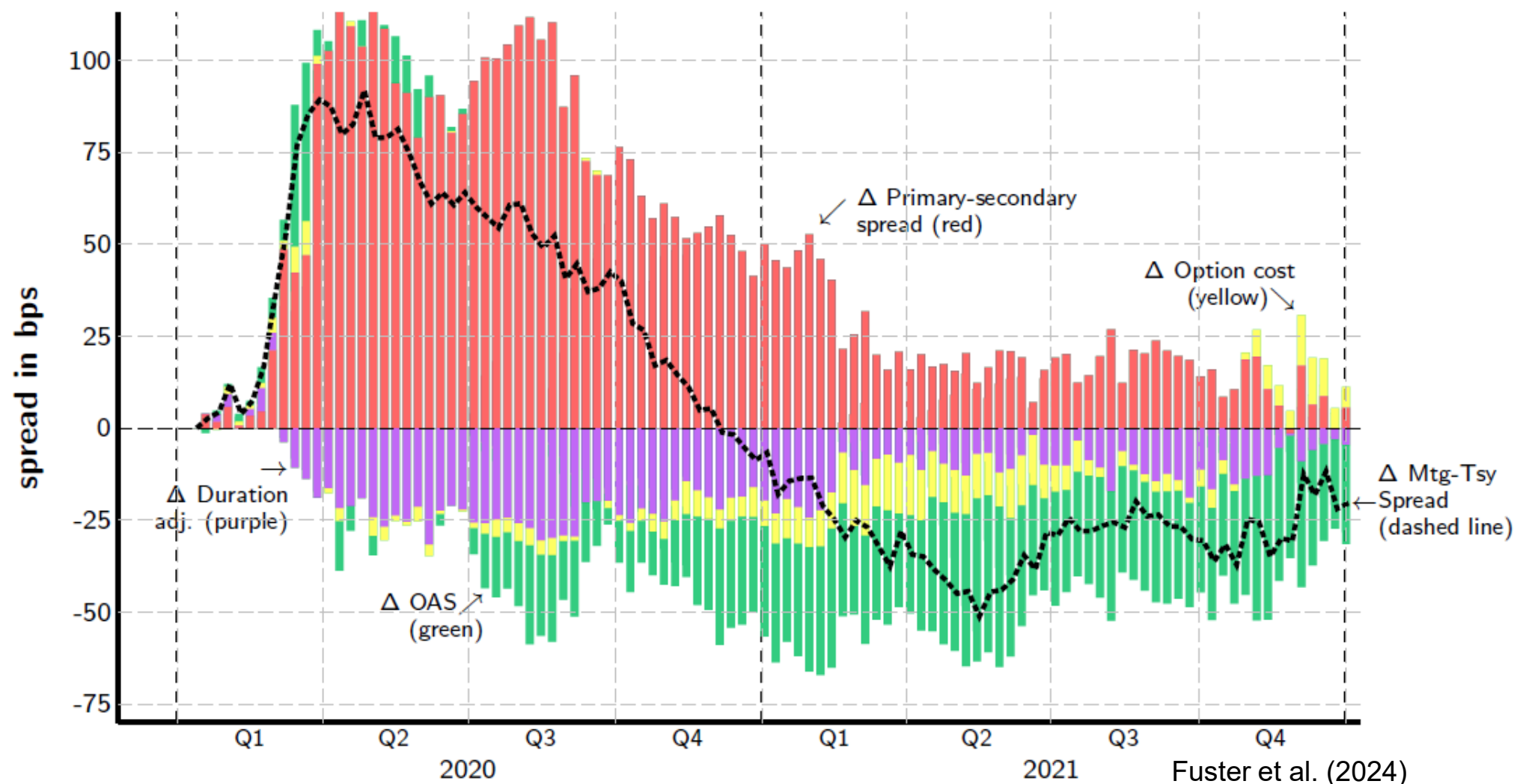
Summing up

- Very interesting paper, encourage you all to read it
- Highlights the key role of banks and the Fed as investors in mortgage assets (MBS, loans)
- Lots of interesting directions for future research...

Thanks!

Extra slides

OAS and primary-secondary spread moved in opposite directions in 2020-21...

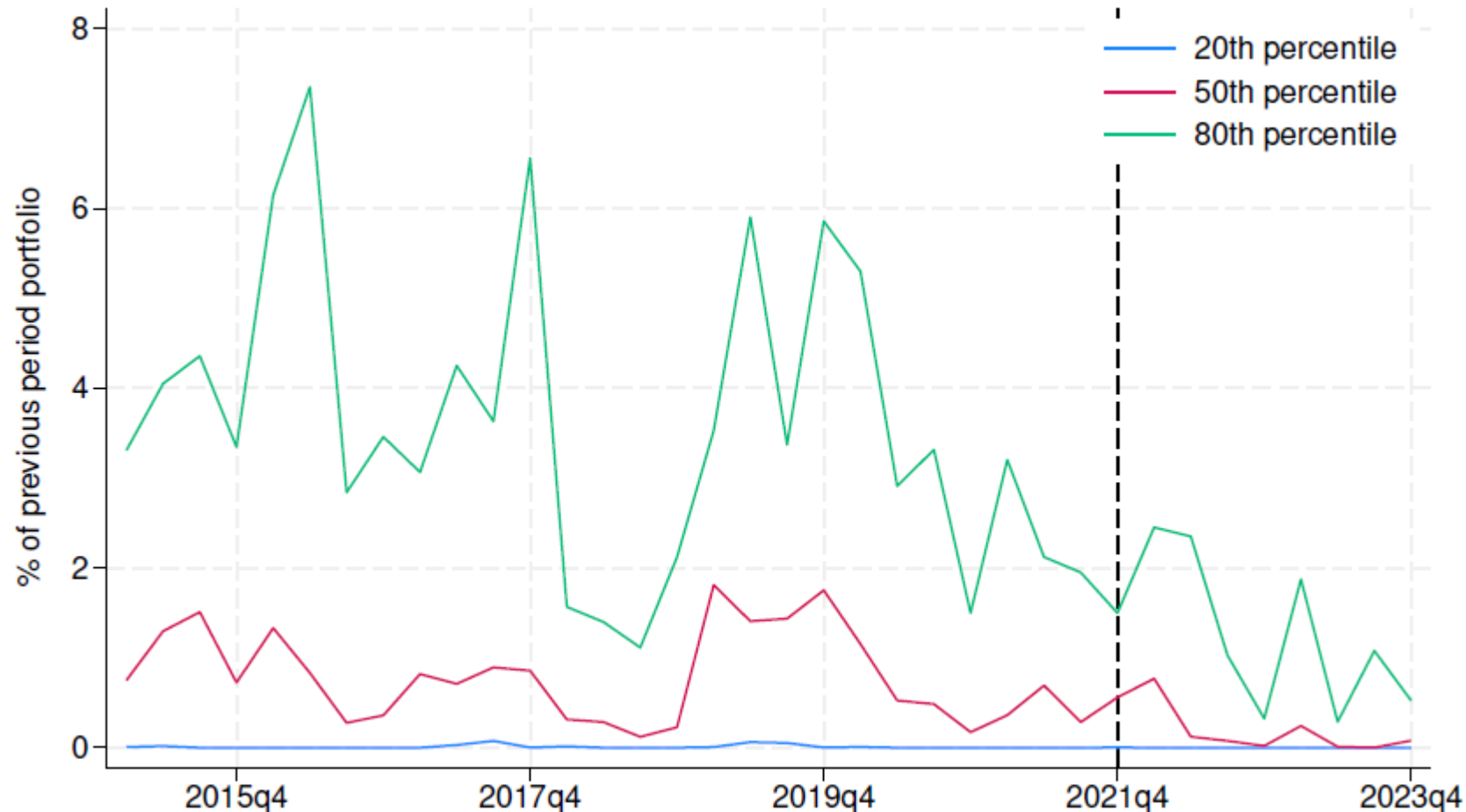


Bank bond *purchases* are sensitive to deposit growth; sales are not

A. Purchases & Sales								
	Purchases				Sales			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Post-2022	-0.065*** (0.012)				-0.011*** (0.003)			
Post-2022 × Callable Bond Share		-0.035 (0.034)	-0.035 (0.034)	-0.019 (0.046)		0.018* (0.009)	0.018* (0.010)	0.023 (0.017)
Deposit Growth		0.437*** (0.105)		0.446*** (0.102)		-0.013 (0.024)		-0.013 (0.022)
Post-2022 × Deposit Growth		0.288 (0.180)		0.261 (0.168)		0.023 (0.035)		0.036 (0.035)
Deposit Growth × (Growth > 0)			0.731*** (0.113)				0.006 (0.026)	
Deposit Growth × (Growth < 0)			-0.046 (0.173)				-0.038 (0.058)	
Controls	No	No	No	Yes	No	No	No	Yes
Time FE	No	Yes	Yes	Yes	No	Yes	Yes	Yes
Bank FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
N	496	496	496	496	496	496	496	496
DV average pre-2022	.14	0.14	0.14	0.14	0.017	0.017	0.017	0.017

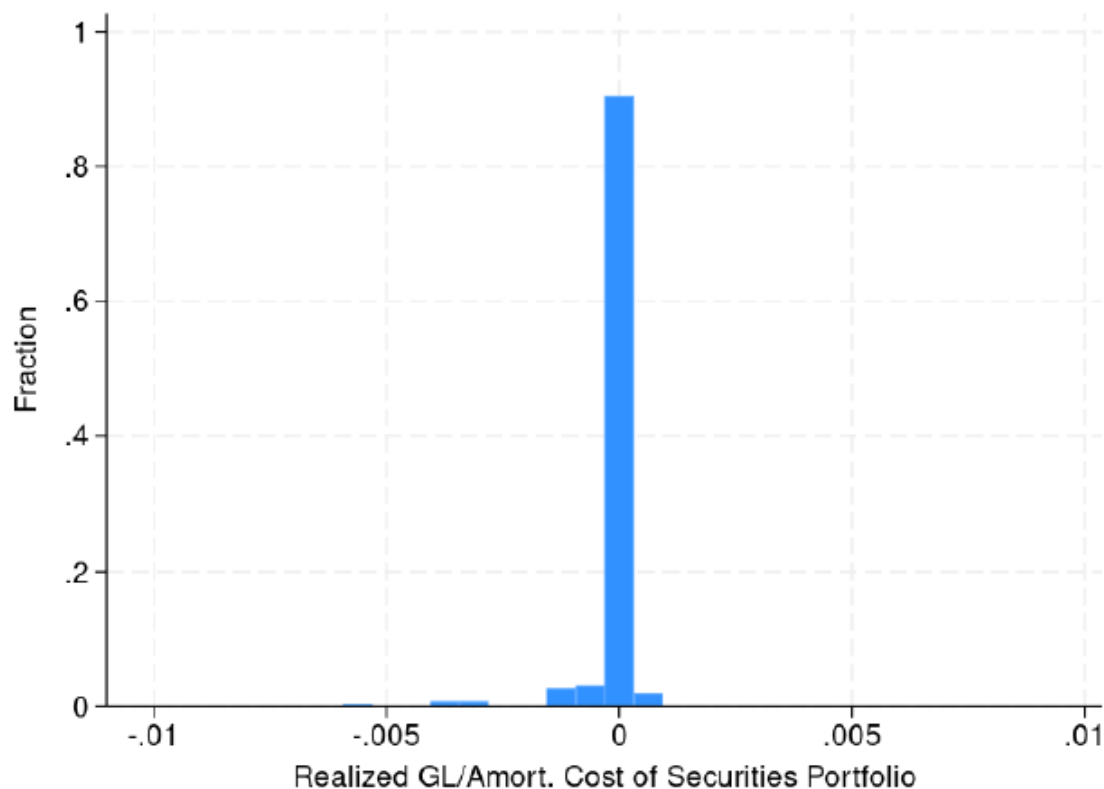
Source: Fuster, Paligorova and Vickery (2025)

Bank sales of securities (scaled by portfolio size) unusually *low* in 2022-23 even as deposit growth turned negative...

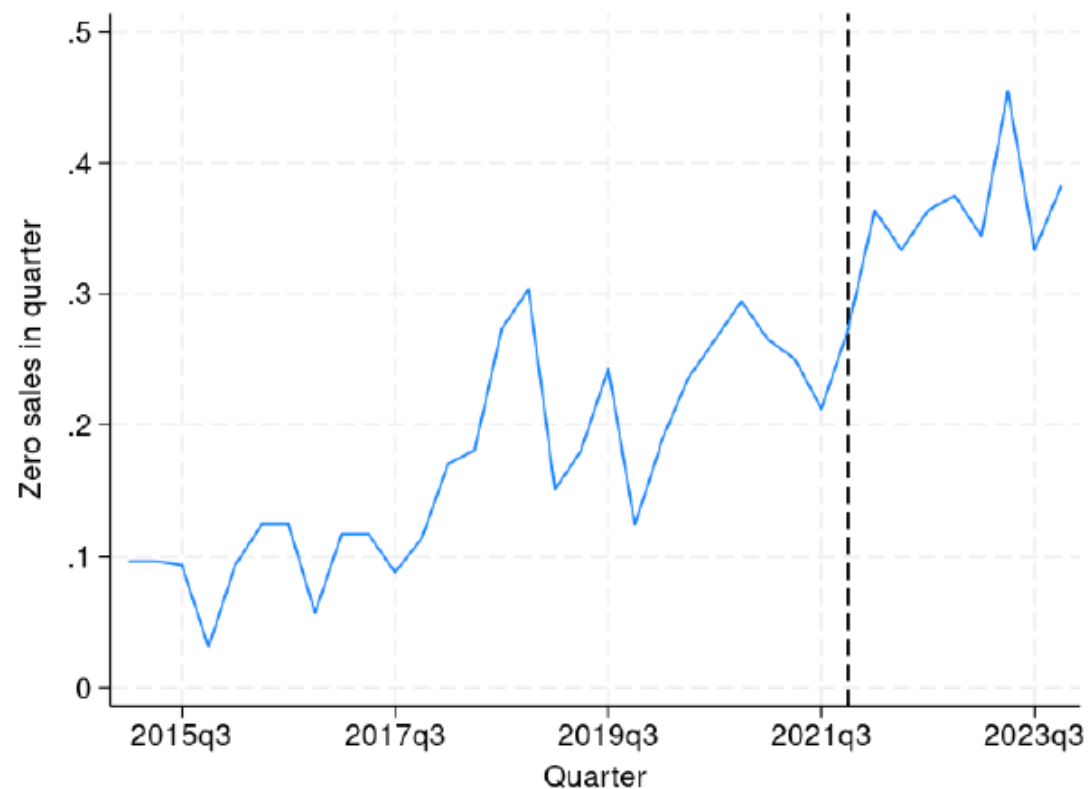


Realized securities gains/losses tightly bunched around zero

Realized gain/loss in 2022-23



Share of “zero-sale” banks



Source: Fuster, Paligorova and Vickery (2025)